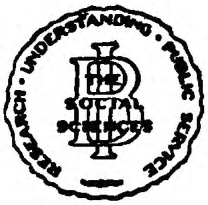
FORMOSA

A Problem for United States Foreign Policy

By

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THE BROOKINGS INSTITUTION
WASHINGTON, D.C.
1952

CHAPTER 4.

Wartime Planning and Early Postwar Events

IN THE Cairo Declaration issued jointly by President Roosevelt, Prime Minister Churchill, and President Chiang Kai-shek on December 1, 1943, it was declared that it was the "purpose" of the "three Great Allies" that "all the territories Japan had stolen from the Chinese, such as Manchuria, Formosa and the Pescadores, shall be returned to the Republic of China." In the Potsdam Proclamation of July 26, 1945, signed by the President of the United States and the Prime Minister of the United Kingdom, and concurred in by the President of China and subsequently adhered to by the Soviet Union, it was agreed that the terms of the Cairo Declaration were to be carried out.

Wartime Planning

The Cairo Declaration was the starting point for planning by the United States Government for the initial postwar treatment of Formosa. A number of questions arose in this connection. The first was: What would be the legal status of the Island between the time of a Japanese surrender and the formalizing of a Japanese cession of it to China under a treaty of peace? That is, would sovereignty continue to rest in Japan during this

period, or would it reside with the United Nations? Or, again, if Formosa were handed over to China for administration, would sovereignty also pass at the same time? Entirely apart from the legal principles involved, it was apparent that in practical application a clear-cut ruling in favor of any of these three positions would present difficulties for the United States. In the quandary thus produced, the United States Government made no public pronouncement at all on the subject. Nevertheless, the general thinking after the Japanese surrender was that although, by signing the Instrument of Surrender, Japan had relinquished sovereignty over the Island, and although the Chinese reoccupied Formosa and assumed an *interim* administrative authority, legal transfer of that sovereignty to China would require formalization by a treaty of peace.

It was believed however, that China did not have the shipping tonnage requisite to ferry over to Formosa personnel to receive the Japanese surrender and to assume administrative functions, to say nothing of the military strength that would be needed if armed resistance were encountered. It was therefore obvious that United States assistance would have to be given to enable the Chinese Government to effect a successful reoccupation. It was assumed that such operations as might be needed to occupy Formosa would be under an American theater commander, who, accordingly, would be responsible for the establishment and the conduct of the military administration of civil affairs there. Moreover, it was contemplated that such administration would continue pending the regularization by treaty of the future status of Formosa. The possibility that the period of non-treaty status would be of long duration was not then foreseen. In United States Navy circles especially, there was a

strong feeling that the United States should continue to exercise the authority of a military occupant pending the formal assumption by China of sovereignty.

There was some question in Service circles whether the occupation of Formosa, if carried out, should be an Army or a Navy responsibility. Eventually, by common consent, the Navy undertook the task of preparing for such an undertaking. Training of personnel for military government was instituted at Columbia University. There was still lacking, however, guidance with respect to American political objectives. On this point, the Navy and the Army sought the advice of the Department of State.

The detailed recommendations that the Department of State made in the spring of 1944 were based on the considerations and assumptions to which reference has already been made. It was known that the Chinese Government for its part had been making preparations to take over the island. Inasmuch as the population of Formosa was predominantly Chinese, and as the island was eventually to be turned over to China, it was thought that Chinese co-operation in military government would be helpful and would tend, when the time came, to facilitate a smooth turning over to China. Nevertheless, it was considered that, while the participation of Chinese as individuals and in an advisory capacity would be welcomed, the United States should not ask the Chinese Government to take part in this administration. It was proposed that the Chinese Government be informed of the general decisions that the United States Government might take with respect to the establishment of the civil affairs administration, and that the American plans should conform, so far as possible, with China's program for the future of the island.

CHAPTER 7.

Development of United States Policy Regarding Formosa

BEFORE the Second World War, United States concern with Formosa was almost wholly commercial, and even American commercial interests were relatively small. Formosa was unique among the areas in the Far East of comparable accessibility and populousness in the fact that no American missionary establishments or other philanthropic and cultural enterprises were located there. Between 1898 and the outbreak of the war the United States maintained a consulate at Taipei.

By the time when, fifty years ago, concern for the preservation of the territorial and administrative integrity of China was first officially and formally declared to be a feature of United States policy, Formosa had already been ceded to Japan.[1] The United States raised no questions in regard to the cession when it took place, nor later in regard to the exercise by Japan of sovereignty over Formosa until after the outbreak of the Second World War. In brief, not until 1941 did developments in or regarding Formosa pose a problem of practical political concern to the United States.

With the Chinese reoccupation of Formosa in Septem-

[1] The cession occurred in 1895, whereas it was not until July 3, 1900 that the enunciation of this position was made, in a note addressed by Secretary of State Hay to the powers.

ber 1945, the island became, *de facto* at least, pending a formalization of its status by a treaty with Japan, a part of the Republic of China, and thus was brought automatically within the scope of the China policy of the United States. To the territory and the people there were then extended the principles, the concerns, the commitments, and the precedents established with respect to China by the historic Far Eastern policy of the United States, except as these had been modified, altered, and subjected to reinterpretation under the stress of war and postwar conditions.

Policy Following the Retreat of the National Government to Formosa

The situation was changed in December 1949 by the withdrawal to Formosa of the National Government with the remnant of its armed forces and substantial holdings in gold. In the United States, an acute public controversy developed as attempts were made to assess blame for the disaster that had overtaken a friendly government which it had been American policy to assist extensively with money, equipment, and good offices. The controversy was not made less bitter by the fact that the American Government had just turned its back on Chiang Kai-shek, despite the fact that Chiang and his supporters were out-and-out anti-Communists.

One section of the American public was disposed to assume that the United States had had it within its power to control the course of events in China. Critics charged that American policies had been shaped by inexperienced and visionary theorists or by Communist sympathizers in the State Department. The American Government itself has contended that the result of the

CHAPTER 9.

The Present Situation

THE Second World War thrust Formosa for the first time into the orbit of United States interest and concern. Postwar developments in China, with the resulting withdrawal (in 1949) of the National Government to Formosa, brought into existence the "problem of Formosa" with which the United States is now inevitably confronted. It seems idle to speculate at this late date whether, if the United States had pursued a different policy toward China between, say, 1944 and 1949, the problem would not have arisen. At any rate, a solution now appears not likely to be reached except as an integral and consistent part of a comprehensive Far Eastern settlement. Such a settlement will probably have to await either a marked shift in the present balance of power among the nations ranged by conflicting interests and objectives on opposing sides, or by the reaching of a conclusion by either or both sides that their interests can better be served by an accommodation than by adhering rigidly to their present positions.

Neither of these eventualities is likely to occur soon, and neither side is strong enough to warrant its assuming the risks of attempting to coerce the other. Consequently, the prospect is that there will be a stalemate of indefinite duration, with a continuance of a somewhat precarious *status quo*. In the meantime, measures taken

by the United States to deal with the problem of Formosa will tend to be on a short-term basis in order that the carrying out of whatever long-term disposals may in the future be decided upon as being in the best interests of the United States will not be prejudiced. Furthermore, it is conceivable that a collapse of the negotiations for a truce in Korea might produce repercussions in the United States which would precipitate American action against Communist China of a nature that would profoundly affect the future basis of American policy with regard to Formosa.

For the present, it is worthwhile to try to define the position in which the United States now stands with respect to the problem of Formosa. As has been shown in previous chapters, the present position is compounded of many different elements. It was created out of the fragments of a disintegrating relationship with the National Government of China, out of an expanding policy of containing and then of positively opposing the threat of Communist aggression, out of the immediate political and military requirements of a war in the Far East, out of a desire to lay some new basis for stability there, and out of the necessities as well as the frustrations of trying to organize and carry out a procedure of collective action. Above all, it was reached under the persistent pressure of an American attitude and public opinion which, in turn, was being shaped and reshaped by the strong winds of political controversy and by sharp reactions to the failure of events to fulfill preconceived expectations.

If the present position can be defined, it then becomes possible to examine its constituent parts and to suggest that some parts may be more fundamental than others; that some may constitute essential commitments of the

United States while others are merely manifestations of public impatience to reach quick and final solutions; and, again, that some parts represent a significant direction in policy while others will be recognized as leading into blind alleys. Until the existing situation is precisely defined, its unresolved elements cannot be clearly identified nor can the possible future questions implicit in the situation be formulated.

Choices Presented to the United States at the Close of 1949

The specific wartime commitment of the United States with respect to Formosa—that contained in the Cairo Declaration—was implemented when American forces assisted the National Government of China to receive the Japanese surrender and to reoccupy the island. The step remaining to be taken was the conversion of China's *de facto* authority in Formosa into *de jure* sovereignty, through formalization in a peace treaty with Japan. It had not been foreseen that before a peace treaty could be concluded Formosa would be the only part of China still under the control of the National Government. When that government lost its authority on the mainland, in December 1949, the United States found itself with no prepared policy as a basis for action.

The American Government and public opinion were unable to come to a speedy agreement on what should be done. The Government was faced with a dilemma. On the one hand, it had already announced clearly that American aid to the National Government of China had been of no avail, and that nothing that the United States could have done within the reasonable